RS250 Business Venture Report: Homemade Organic Gulal

Course: Assignment 1

Date of Operation: 22 Feb 2026

Operating Window: 3PM - 3:30 PM

Executive Summary

This report details the ideation, planning, execution, and financial outcomes of a micro-venture conducted with a strict budget constraint of ₹250. The chosen venture was the production and direct-to-consumer sale of homemade, skin-friendly *gulal* (colored powder) in anticipation of the upcoming Holi festival. Utilizing an initial investment of ₹185, the business operated within a residential society over a 30-minute window. This document outlines the core business processes, financial transactions, and key learnings derived from this experiential exercise.

Idea Generation

The conceptualization of this venture utilized the creative frameworks discussed in Professor Pavan Soni's course.

- **Identifying the Need:** With the festival of Holi approaching, there is a natural, predictable surge in demand for colours.

- **Problem Solving:** A common pain point for consumers is the presence of harsh, skin-damaging chemicals in commercially available gulal.
- **The Solution:** Creating a homemade, safe alternative addresses consumer anxiety while keeping production costs exceptionally low.

To generate a viable business concept within the strict ₹250 budget constraint, I systematically applied the **SCAMPER** framework from Professor Pavan Soni's lectures. Initially, I brainstormed standard low-budget ideas—such as selling homemade lemonade or baked goods—but these either carried a risk of low margins or lacked an urgent, seasonal demand. Focusing on the upcoming Holi festival, I utilized the **Substitute** principle. I recognized a major customer pain point: the fear of skin damage from commercial colors. I decided to *substitute* the harsh, synthetic chemicals found in cheap market *gulal* with safe, inexpensive, and readily available kitchen ingredients like cornstarch and organic food coloring. This immediately created a strong, health-conscious value proposition that justified a premium even on a low-cost product.

Furthermore, I applied the **Eliminate** principle to streamline my operations and protect my budget. By manufacturing the *gulal* entirely in my own kitchen and adopting a direct-to-consumer, door-to-door sales model within my own residential society, I was able to *eliminate* middleman margins, transportation logistics, and expensive marketing costs. This strategic application of the SCAMPER framework is exactly what allowed me to capture immediate seasonal demand while keeping my total upfront investment securely under the limit at just ₹185.

Planning Phase

The planning phase involved strict budgeting, sourcing, and operational strategy to ensure the venture remained viable under the ₹250 limit.

- **Market Research & Target Audience:** The primary target market was identified as families residing within my housing society. Families with children are particularly conscious of chemical-free products, making them ideal early adopters.
- **Budget Allocation (The ₹185 Investment):** Extensive planning was required to source raw materials efficiently. The primary base ingredients were cornstarch/arrowroot powder costed 500gm @ Rs.45, Natural Food colourings 20gm @ Rs. 25, Rose Water 120ml @ Rs.45, Beetroot @ Rs. 35, Turmeric @ Rs.35, Hence total investment amounting to Rs. 185.
- **Pricing Strategy:** Upon manufacturing a total batch of 550 grams of gulal in two distinct colors (red and yellow), I carefully portioned the product into standardized 50-gram pouches, yielding a total inventory of 11 sellable units. I adopted a value-based pricing model, setting the retail price at ₹50 per packet. This specific price point was strategically chosen for two reasons: first, it reflects the premium, safe, and chemical-free nature of a homemade product; second, ₹50 is a common denomination that makes for an easy, frictionless impulse purchase for residents preparing for the festival. Additionally, selling 11 units at ₹50 positioned the venture to generate ₹550 in total revenue, ensuring a highly lucrative profit margin against the minimal ₹185 initial investment.
- **Operational Strategy:** To maximize the 30-minute operational window, I opted for a direct sales (door-to-door) approach rather than setting up a stationary stall. This proactive

strategy ensured higher visibility and immediate customer engagement.

Preparation and Production (Activities)

The manufacturing of the product involved a defined, multi-step business process designed to ensure a high-quality, safe final product. The production phase was executed entirely in my home kitchen and involved creating two distinct variants of *gulal*: Vibrant Yellow and Deep Red.

Procurement: Sourced food-grade cornflour to act as the base carrier powder, ensuring a soft, skin-friendly texture. For pigmentation, I strictly utilized natural ingredients: turmeric powder for the yellow variant and concentrated beetroot extract for the red variant. Rose water was also procured to act as a natural, hypoallergenic fragrance.

Formulation and Mixing: For the Dry Yellow *Gulal*, I established a standard ratio of 1 cup of cornflour to 2–3 tablespoons of turmeric powder, adding a few drops of rose water. The ingredients were thoroughly hand-mixed to ensure the pigmentation was evenly distributed. The exact same base process was replicated for the Red *Gulal*, substituting the turmeric with the beetroot extract.

Quality Control (Refining): To match the feel of premium market *gulal*, the texture needed to be exceptionally smooth. I subjected both color batches to a rigorous refining process, sieving the mixtures two to three times. This broke down any lumps and ensured a fine, silky consistency.

Curing and Drying: Once mixed and refined, the powders were spread evenly across flat trays and placed in direct sunlight. This crucial sun-drying step removed any residual moisture introduced

by the beetroot extract and rose water, preventing future clumping and extending the product's shelf life.

Production Time and Operational Challenges: The active labor (measuring, mixing, and sieving) took approximately 1 to 1.5 hours, followed by a passive sun-drying period of 3 to 4 hours.

The primary operational challenge encountered during production was moisture management, particularly with the red *gulal*. Because the beetroot extract introduced more liquid into the dry cornflour than the powdered turmeric did, the red batch initially clumped together. I had to pivot my process by adding a slightly longer drying time and an extra round of sieving for the red batch to ensure it met the same quality standard as the yellow batch. Overcoming this minor production bottleneck was a practical lesson in quality assurance and adaptability.

Execution: Operating the Business

The venture went live on **22-02-2026** during the 30-minute slot of **3:00pm to 3:30pm**.

- **The Pitch**: I approached residents in my society, pitching the product not just as festive color, but as a "safe, skin-friendly, and homemade" alternative to market chemicals.
- **Activities Undertaken:** Navigating the society blocks to reach maximum households.

    - Delivering a 30-second elevator pitch to residents upon them opening the door.
    - Answering customer queries regarding the ingredients to build trust.
    - Managing cash and digital transactions (UPI) swiftly.

During the allocated 30-minute operational window, I executed a highly targeted, door-to-door direct sales campaign within my residential society. Recognizing that time was my most constrained resource, I maintained a brisk pace, successfully initiating contact and delivering my sales pitch to 15 different households—averaging just two minutes per interaction.

- **The Pitch and Customer Engagement:** My execution strategy relied on a concise, 30-second elevator pitch highlighting the product's core value proposition: "100% organic, homemade, and skin-safe gulal." As anticipated, the primary friction point for buyers was skepticism regarding the product's authenticity. Most prospective customers actively paused to ask specific questions about the manufacturing process and the ingredients used.
- **Handling Objections and Negotiations:** I utilized these questions as an opportunity to build consumer trust. Instead of standard marketing speak, I transparently detailed the exact recipe—food-grade cornflour, natural turmeric, and beetroot extract. By patiently educating the consumer and addressing their latent fears of chemical allergies, I successfully turned their initial hesitation into purchasing confidence. The physical appearance and fine texture of the product (resulting from the rigorous sieving process) served as tangible proof of its quality, entirely eliminating the need for price negotiation; customers readily accepted the ₹50 price point once the value was established.

- **Managing the Sales Funnel (Rejections vs. Conversions):** Out of the 15 households approached, I encountered 4 rejections. I analyzed these non-conversions not as failures, but as standard market realities—the residents either had already procured their Holi supplies or were not planning to play with colors this year. I ensured I handled these rejections graciously to maintain positive community relations.
- **Operational Success**: The 30-minute sprint yielded an exceptional conversion rate of approximately 73%. By effectively communicating the product's USP and handling customer objections with factual transparency, I secured 11 successful transactions, completely liquidating my entire inventory of 11 packets 45 seconds before the time window closed.

Financial Analysis

Understanding the financial mechanics was a core objective of this assignment. The venture yielded the following financial results:

Financial Metric	Amount (₹)	Details
Total Investment (Cost)	₹185.00	*Cost of raw materials were cornstarch/arrowroot powder costed 500gm @ Rs.45, Natural Food colourings 20gm @ Rs. 25, Rose Water 120ml @*

Financial Metric	Amount (₹)	Details
		Rs.45, Beetroot @ Rs. 35, Turmeric @ Rs.35
Total Revenue	₹550	*Income generated from selling 11 packets at ₹50 each.*
Gross Profit	₹365	*Calculated as ₹550(Total Revenue) - ₹185(Total Investment).*
Return on Investment (ROI)	197 %	*Calculated as (₹365(Net Profit) / ₹185(Investment)) x 100.*

Transactions: During the 30-minute window, a total of 11 individual transactions were recorded. 73% cash transactions and 27% of the customers paid via Unified Payment Interface.

Business Process Analysis

- **Supply Chain & Sourcing:** Local retail procurement of raw goods.
- **Manufacturing:** In-house, manual processing and packaging.
- **Marketing & Sales:** Word-of-mouth and direct door-to-door sales pitch emphasizing health and safety.
- **Fulfilment:** Immediate handover of goods upon transaction.

Reflection and Key Learnings

Operating a micro-venture from end to end provided invaluable insights into real-world business dynamics:

- **The Power of Timing and Context:** Launching a seasonal product meant the demand was already pre-existing; I merely had to supply a better alternative. The friction to purchase was incredibly low.
- **Trust as a Currency:** Because the target audience was my own residential society, the pre-existing community trust acted as a catalyst for sales. The "homemade" tag carried weight because they knew the seller.
- **Time Constraints Force Efficiency:** Operating strictly within a 30-minute window taught me the importance of an optimized

sales pitch. I learned to quickly gauge a customer's interest and close the transaction without lingering.

Reflecting on the operational constraints and outcomes of this venture, the most significant realization was that I underestimated the market demand for a safe, organic alternative. Achieving a 73% conversion rate and completely liquidating my entire inventory of 11 packets within the brief 30-minute window is a strong indicator of product-market fit. However, running out of stock so quickly also highlights a missed revenue opportunity. Next time, I would scale up my production volume significantly. The baseline effort required to manufacture 550 grams could easily have been optimized to produce 1.5 to 2 kilograms with only a marginal increase in labor and time, allowing me to serve a larger segment of the society and fully maximize the operational window.

Furthermore, the rapid pace of sales and the total absence of price negotiation suggest that the product may have been underpriced. While ₹50 for 50 grams ensured affordability and facilitated quick impulse buys, the "100% organic, handmade, and skin-safe" value proposition naturally commands a premium in today's market. In a future iteration, I would experiment with a slightly higher price point to test price elasticity, or introduce bundled packaging—such as a "Holi Starter Kit" featuring three colors—to increase the average transaction value while maintaining the same direct-to-consumer trust.

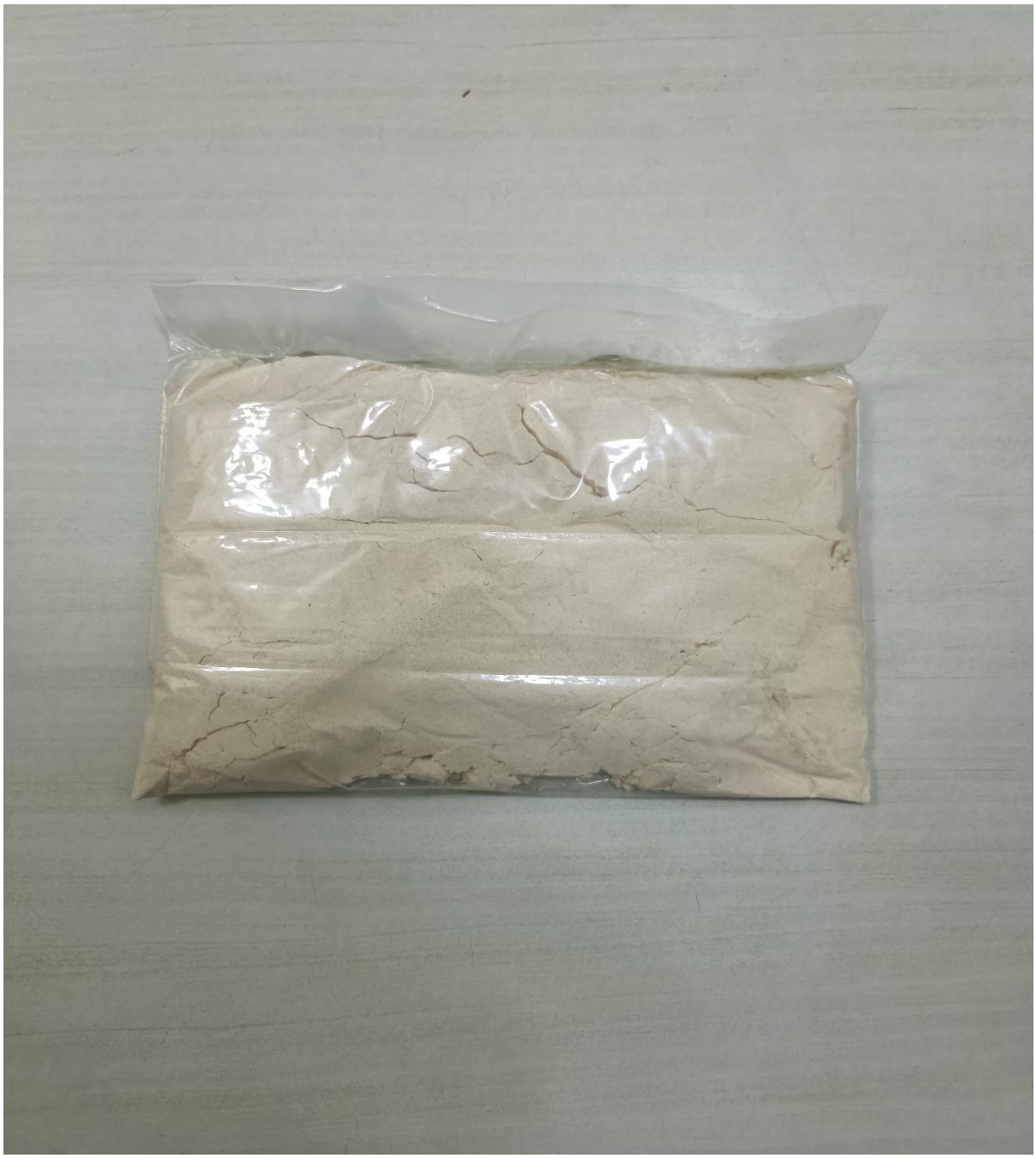
Upon drying, the colors faded slightly due to the high cornflour ratio, resulting in pastel shades rather than deep colors, which I will adjust in future iterations.

Finally, operating within a strict 30-minute window was an intense but highly rewarding exercise in efficiency. It forced me to strip away unnecessary details and refine my sales pitch to its most impactful core. While the 30 minutes initially felt like a tight constraint, I realized that it was ultimately my limited inventory,

rather than the lack of time, that capped my business growth. This experiential exercise solidified my understanding that generating a viable idea is only the first step; accurately forecasting demand, optimizing production capacity, and ensuring supply chain readiness are equally critical components for maximizing profitability in any venture.

Appendix

Appendix A: Photographic Evidence of Operations

Appendix B: Photograph of Process of yellow gulal

Appendix C: Finished Product